It has most of the features of VAT. In VAT, only goods were taxed but in GST both goods and services are taxed on the basis of tax on value addition method.

The tax is imposed as a percentage of value added. Here consider a cotton shirt production prior to introduction of the concept of tax on value added.

First the cotton sold was taxed. It was bought by a spinning mill owner. He had to pay the price of cotton including sales tax on it. He would process it into yarn and sell it to a weaver. Again Sales tax was imposed. Here, the price included cost of the cotton + Sales tax on cotton + value added by spinner. So the tax amount already paid also got taxed. It continued till the end product. It inflated the price of the end product. This is called the cascading effect. To avoid this and to bring about uniformity in indirect tax throughout the country all indirect taxes were subsumed into GST.

It is a multi-stage tax. Here the tax paid on the input is adjusted with the tax payable on the output. It is called input tax credit or tax credit. In the above example the tax paid on the cotton is adjusted with tax payable on the yarn. So the producer pays tax only on the value added by him. Tax on tax is avoided. Cascading effect is undermined. So price rise is avoided.

## Salient Features of GST

- It is consumption or destination based tax levied on the basis of the "Destination principle"
- GST is applicable on supply of all goods and services except Alcohol for human consumption and few other goods.
- It is payable by supplier of Goods and or Services. At times it is payable by the recipient of supply of goods or services or both instead of the supplier of such goods or services. It is called "reverse charge".